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Unit 2

CONCEPTUAL FRAMEWORK OF ACCOUNTING

Contents

2.1 Book-keeping – An introduction

2.2 Book- keeping Vs. Accounting

2.3 Relationship among Book-keeping, Accounting and Accountancy

2.4 Accounting Principles

2.5 Accounting Standards (AS)

2.6 International Financial Reporting Standards (IFRS)

2.7 Accounting Standards in India

Learning Objectives

To enable the students to

- Understand the meaning, definition and features of book-keeping
- Evaluate the advantages and limitations of book-keeping
- Understand the accounting concepts and conventions
- Understand the meaning of and need for Accounting Standards

Points to recall

The following points are to be recalled before learning conceptual framework of accounting:

- Meaning and definition of Accounting
- Functions of Accounting
- Users of Accounting
- Basic Accounting terminologies

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Key terms to know

- Book-keeping
- Accountancy
- Accounting cycle
- Accounting concepts
- Accounting Standards